

Without such a market, without such a trading and distributing centre, wide and active and enterprising, corporate activity could not exist.

If the Stock Exchange were ever to grow unmindful of the public character of its functions and of its national duty, if through inefficiency or for any other reason it should ever become inadequate or untrustworthy to render to the country the services which constitute its *raison d'être*, it would not only be the right, but the duty of the authorities, State or Federal, to step in.

While the Stock Exchange is in theory a private institution, it fulfils in fact a public function of great national importance.

But thus far, I fail to know of any valid reasons to make such action called for.

SHORT SELLING — IS IT JUSTIFIABLE?

Question:

You have commenced your first answer with the words, "I need not point out to your Committee." That is a complimentary assumption, but I don't mind telling you that we here are very little acquainted with the working of the Stock Exchange or the affairs of you Wall Street men in general. What about short selling?

Answer:

I do not mean to take a "holier than thou" attitude, but personally, I never have sold a share of stock short. Short sellers are born, not made. But if there were not people born who sell short, they would almost have to be invented.